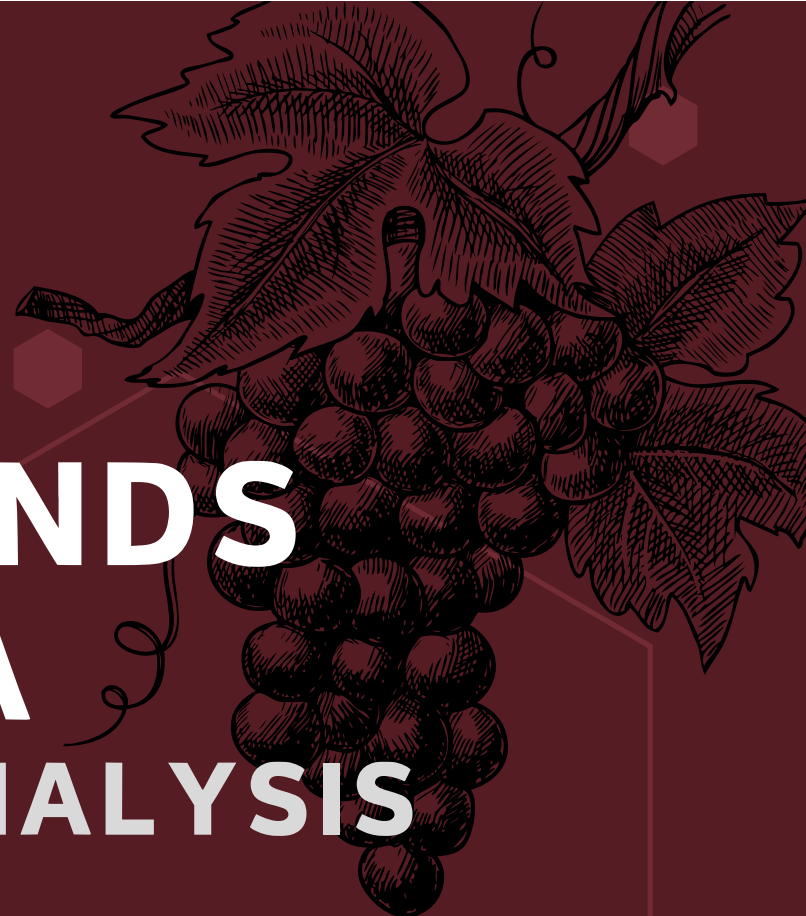




ITALIAN WINE BRANDS VS MASI AGRICOLA FINANCIAL STATEMENT ANALYSIS

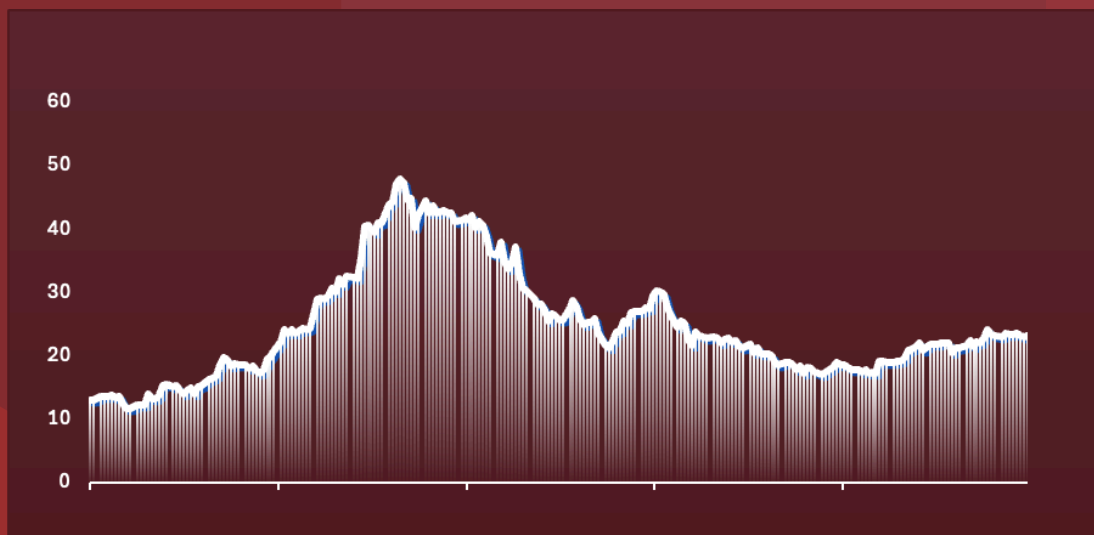
Performance Measurement Systems 2025

Henry Soper - Romain Derguini - Filippo Iacchia -
Francesco Gambera - Alice Williams - Anastasija Smiljkovska

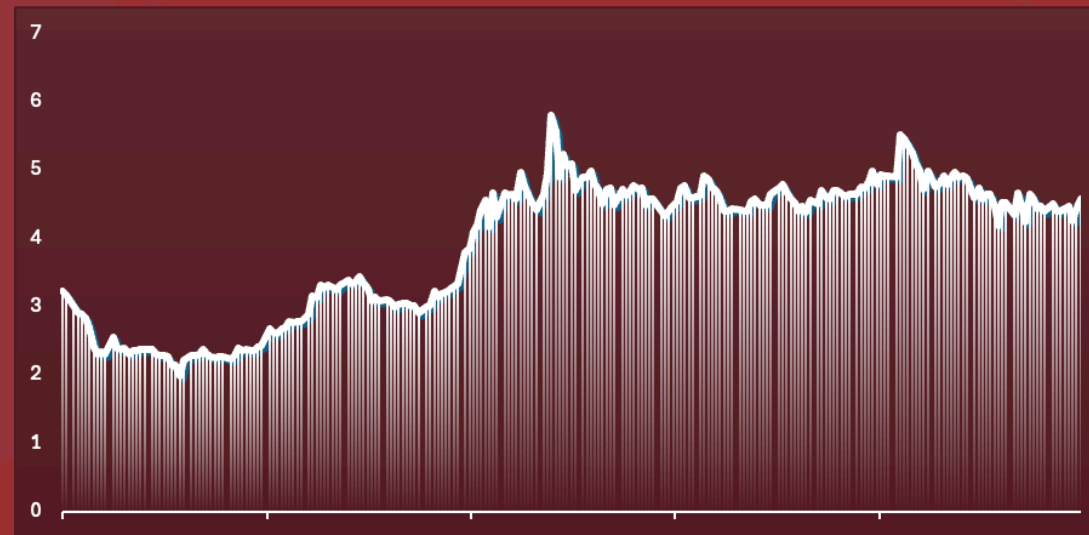
Stock Prices

2020-2024

IWB



Masi



BUSINESS MODEL COMPARASION

ITALIAN WINE BRANDS

Key Partners

- Agricultural and Production Partners
 - Agreements with grape growers and vineyards
- Packaging Suppliers
 - Major glass bottle manufacturers
 - Cork and closure suppliers
 - Producers of packaging
- Logistics and Distribution Partners
- Commercial and Retail Partners
- Technology & Marketing Partners
 - Marketing agencies for brand promotion
- Regulatory & Certification Partners

Key Resources

- Extensive portfolio of 70+ brands
- Industrial bottling & production hubs
- Enological and technical expertise
- Global distribution network
- Proprietary e commerce
- Financial Strength & Access to Capital Markets

Key Activities

- Production and Winemaking
- Quality Control and Certifications
- Research and Development / Product Innovation
- Marketing and Sales (especially digital)
- Supply Chain and Procurement Management
- International Distribution & Export Management

Cost Structure

- Purchase of grapes and raw materials
- Production, bottling, and packaging
- Logistics and distribution costs
- Marketing and promotional investments
- E-commerce-related costs (technology, advertising, warehousing)
- Personnel and organizational expenses
- Product and brand development
- International expansion costs

Key Partners

- Distributor / Importer
 - Santa Margherita (USA)
 - Vineyard Brands (USA)
 - Eggers & Franke Holding (GER)
- Alliance for R&D
 - International Wine Consortium
- Packaging suppliers
 - Verallia
- Logistics & freight partners
- Marketing & digital agencies
- Regulatory & Certification Partners

Cost Structure

- Viticulture & harvest costs (seasonal labour, vineyard maintenance)
- Winemaking & ageing costs (barrels, tanks, cellaring)
- Packaging costs (glass, closures, labels)
- Distribution & logistics (export freight, customs, warehousing)
- Sales & marketing expenses (digital campaigns, promotions)
- Personnel & overheads (oenologists, sales, admin)
- Depreciation & maintenance of production assets
- Wine tourism & hospitality operating costs

Key Resources

- Curated range of premium brands
- Vineyards and land holdings
- Production infrastructure: wineries, cellars, facilities for vinification
- Brand name, heritage and "terroir & tradition" value
- Technical expertise: enologists, agronomists, viticulture

Key Activities

- Vineyard & agricultural management
- Appassimento (Grape Drying)
- Winemaking & Fermentation & Aging
- Wine Tourism & Experiential Offering
- Brand & Heritage Management
- Quality control and certification processes
- International sales & distribution management

MASI AGRICOLA

BUSINESS MODEL COMPARASION

ITALIAN WINE BRANDS

Value Proposition

- Wide range of Italian wines across multiple price segments
- Large and diversified brand portfolio
- Multi-channel distribution, including strong DTC e-commerce
- Global reach with consistent, reliable large-scale production
- Innovation in products and sustainable packaging
- Competitive price/quality

Customer Segments

- Direct-to-Consumer (B2C)
 - Traditional wine buyers (40+ years old)
 - Digital wine shoppers / e-commerce users
 - Price-sensitive
- Business-to-Business (B2B)
 - Large-scale retail chains
 - Importers & international distributors
 - Ho.Re.Ca.
- Emerging & Trend-Based Segments
 - Consumers of organic and sustainable wines
 - Low alcohol and non-alcohol wine explorers

Channels

- Proprietary e-commerce platforms
- Social media & digital advertising
- Email marketing / newsletters
- Large-scale retail distribution
- Wine shops & specialised retailers
- Ho.Re.Ca.
- B2B Export Channels

Channels

- International distributors & importers (primary B2B channel)
- Ho.Re.Ca
- Large-scale retail & specialised wine shops
- Third-party marketplaces (D2C)
- Winery tasting rooms and direct sales at estate (enotourism)

Revenue Streams

- Bottled wine sales (core revenue, multibrand portfolio)
- Export sales via distributors & wholesalers (primary revenue stream)
- Direct-to-consumer e-commerce (Giordano Vini, Svinando)
- B2B channels: GDO, retail chains, Ho.Re.Ca.

Value Proposition

- Cultural Authenticity
 - 6th generation
- Sustainable & Responsible Governance
 - "Masi Green Governance"
- Global Export Orientation
 - 100+ countries
 - 80-90% of revenue comes from exports
- DTC Experience
 - Masi Wine Experience
- Premium & Product Portfolio

Customer Segments

- Premium Consumers / Wine Enthusiasts
- International Consumers / Export-Oriented Clients
- Horeca, Retailers & Importers / B2B Channels
- Tourists / Wine Tourism & Brand Experience Seekers
- Sustainability & Territory-Conscious Consumers

Revenue Streams

- Premium bottled wine sales (core revenue)
- International B2B distribution (primary revenue source, 80–90% export)
- Ho.Re.Ca. premium channel (high-end restaurants, hotels, wine bars)
- Selective retail presence (specialised wine shops, premium GDO)
- Direct-to-consumer revenue (wine shops at estates, limited e-commerce)
- Wine tourism & experiential revenues (Masi Wine Experience, events, tastings)

MASI AGRICOLA

RISK FACTORS & STRATEGIC RISKS (1A)

MASI's Strategies

1. Vertically Integrated Supply Chain
2. Capital-Intensive
3. Prioritize Organic Growth

IWB's Strategies

1. Asset-Light
2. Lower Capital Expenditure
3. Aquisitions & Market Flexibility

MARKET RISKS (7A)

Italian Wine Brands



Supplier Dependency

As an asset-light company, IWB relies on its network of third-party grape and bulk wine suppliers. This dependence exposes it to potential supply chain disruptions, quality control issues, and raw material price volatility.



Acquisition Integration Risk

As a company that grows through acquisition, IWB faces the risk of successfully integrating new brands and operations. Poor integration could impact financial performance or dilute brand value.



Channel Sales Fluctuations

IWB sells through multiple channels, including wholesale and direct-to-consumer (DTC). Shifts in sales across these channels, such as a reduction in wholesale to large-scale retail, can pose a risk. Some earlier data pointed to a potential decline in direct mailing and telephone selling.



Competition and Market Share

The wine market is highly competitive. IWB faces constant pressure from other producers, both large and small, for market share.



Consumer Trend Risks

While IWB aims to capitalize on the "less but better" trend in premium wines, it remains susceptible to broader consumer consumption patterns and shifts in preferences, particularly among younger consumers.



Revenue and Earnings Growth

As of November 2025, Simply Wall St noted "Revenue and earnings growth" as a major risk for IWB, indicating potential challenges in sustaining its growth trajectory.

MARKET RISKS (7A)

MASI Agricola



Weather and Climate Change

As a vineyard owner, Masi is directly exposed to unpredictable weather, which can impact the quality and quantity of its grape harvests. President Sandro Boscaini noted that climate change is a market risk, requiring resilient strategies.



Geopolitical Uncertainty

Masi's performance can be affected by geopolitical issues, including conflicts and elections in different countries. These events can create a fragile and selective market for premium goods like fine wine.



Currency Fluctuations

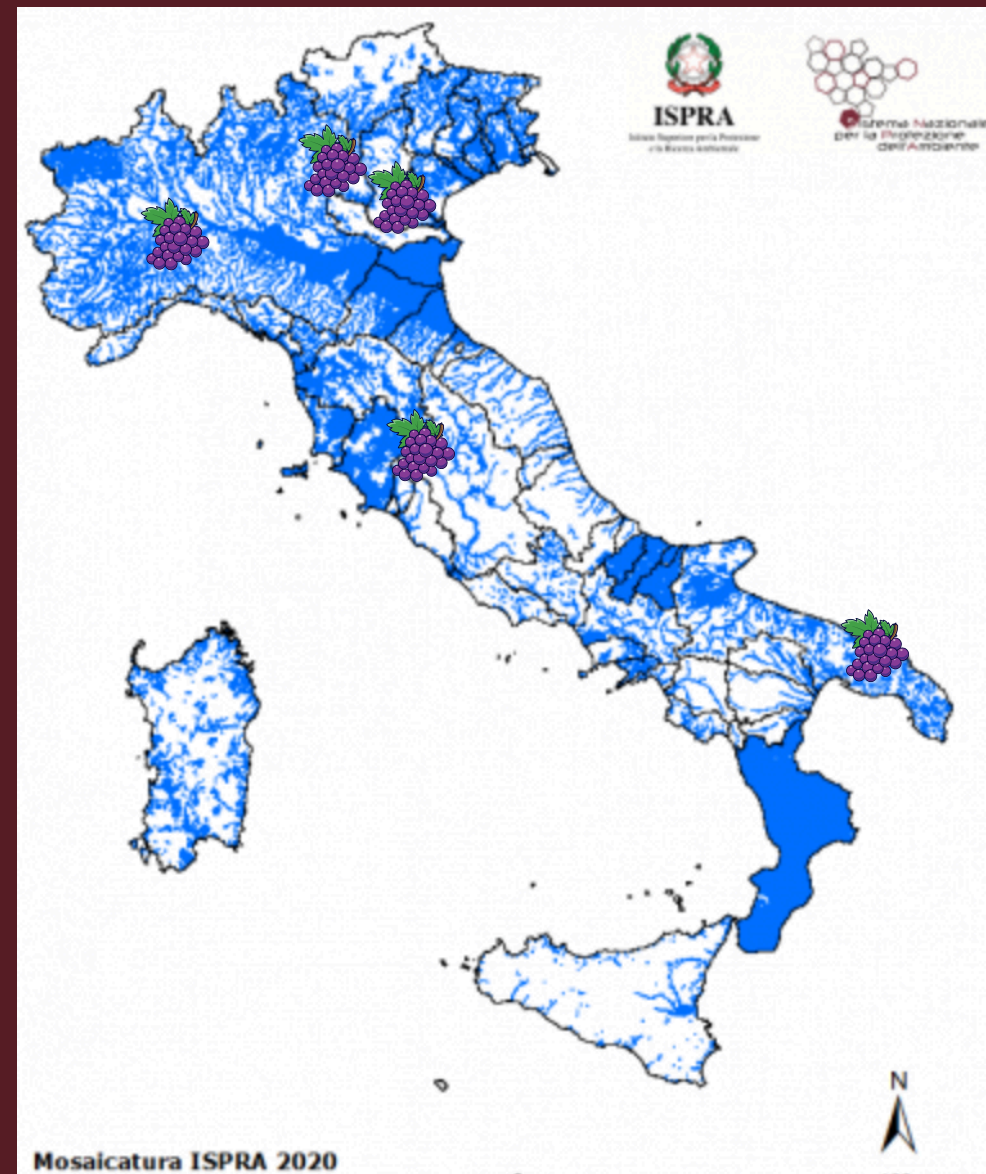
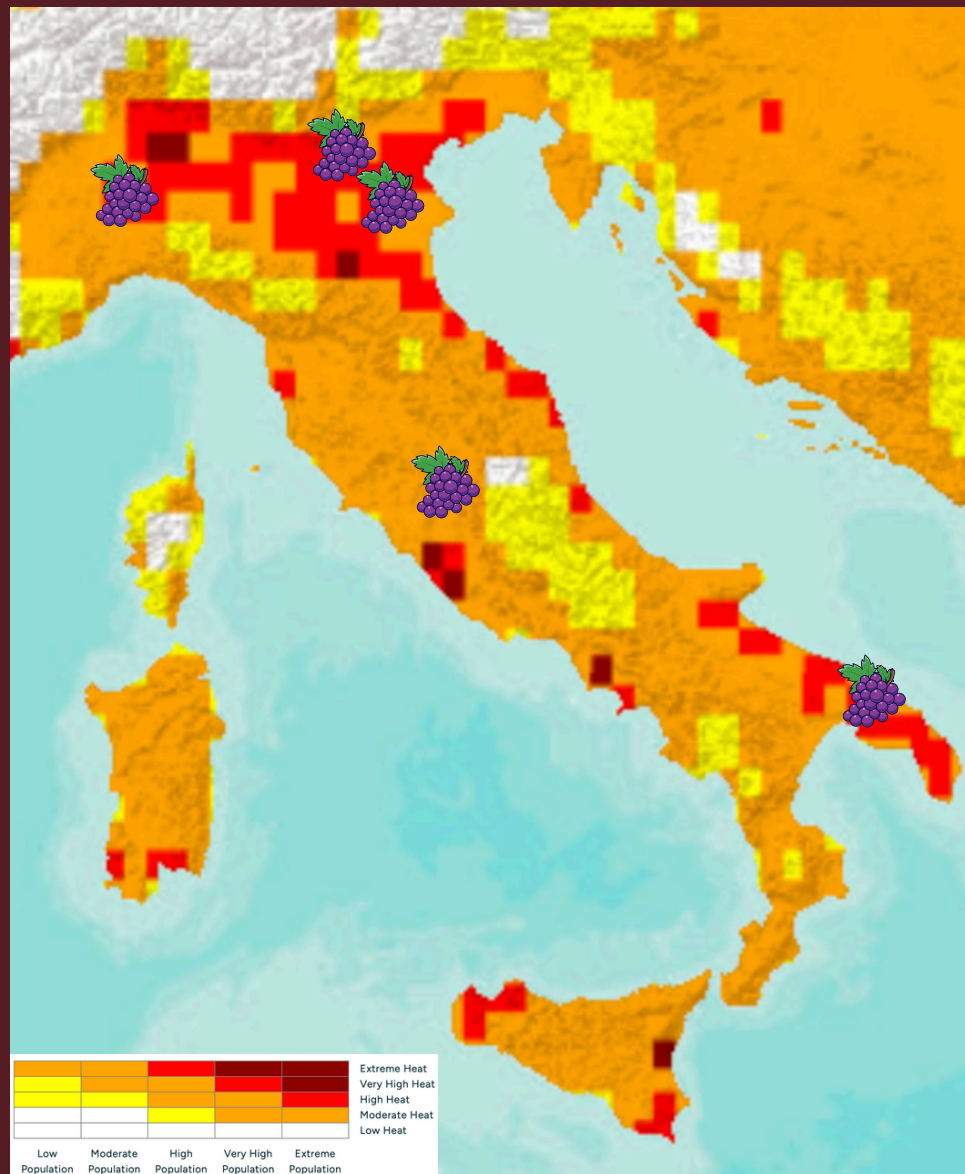
Given its international sales and purchasing of materials, Masi's revenue and profitability are dependent on exchange rate trends, such as the Euro versus the U.S. Dollar.



Consumer Spending on Premium Wines

Economic downturns, high inflation, or uncertainty can reduce consumer spending on high-end wines. While Masi has focused on strengthening its brand to build resilience, this remains a risk.

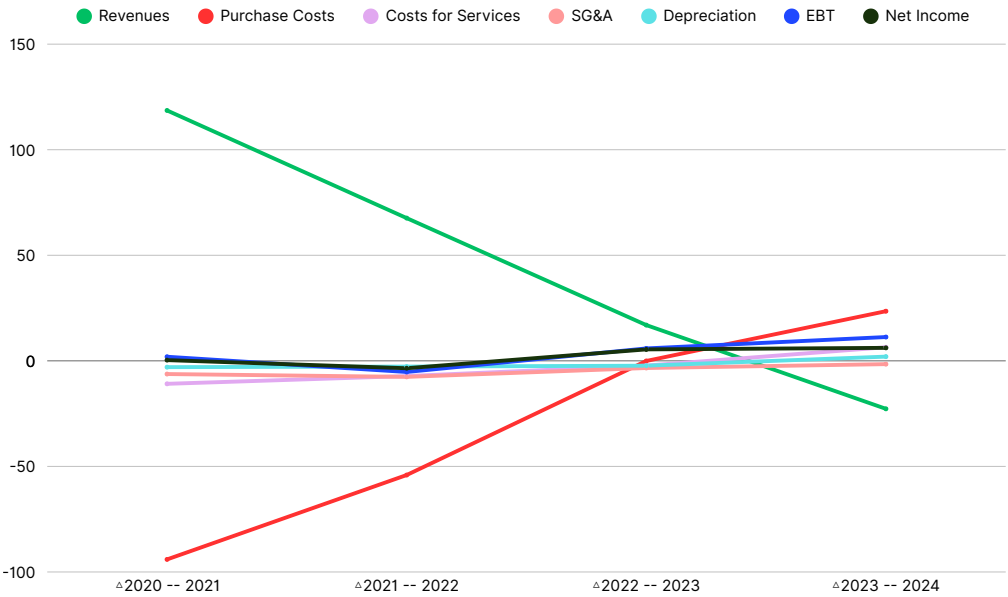
Climate Crisis



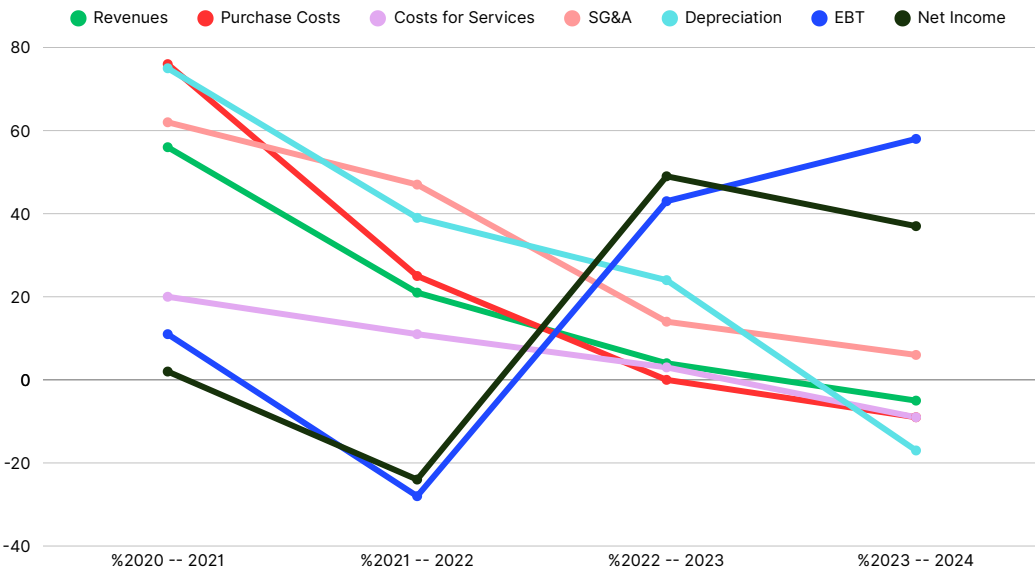
HORIZONTAL ANALYSIS IWB

Italian Wine Brands (in €)	2020	2021	2022	2023	2024	△2020 -- 2021	%2020 -- 2021	△2021 -- 2022	%2021 -- 2022	△2022 -- 2023	%2022 -- 2023	△2023 -- 2024	%2023 -- 2024
Revenue ("Total revenue")	210,628,923	329,226,074	396,838,417	413,772,484	391,043,255	118,597,151	56%	67,612,343	21%	16,934,067	4%	-22,729,229	-5%
Purchase Costs	-123,650,253	-217,704,762	-271,789,668	-271,847,220	-248,332,447	-94,054,509	76%	-54,084,906	25%	-57,552	0%	23,514,773	-9%
Costs for Services	-53,325,328	-64,208,638	-71,413,602	-73,661,770	-67,224,590	-10,883,310	20%	-7,204,964	11%	-2,248,168	3%	6,437,180	-9%
Selling, General and Administrative Expenses (Personnel Costs + Other Operating Costs)	-10,050,272	-16,303,500	-23,899,725	-27,301,085	-28,865,921	-6,253,228	62%	-7,596,225	47%	-3,401,360	14%	-1,564,836	6%
Amortization ("Depreciation and amortization")	-3,959,744	-6,948,102	-9,666,058	-11,964,772	-9,968,066	-2,988,358	75%	-2,717,956	39%	-2,298,714	24%	1,996,706	-17%
Income Before Tax ("EBT")	17,031,500	18,970,400	13,695,134	19,574,074	30,843,886	1,938,900	11%	-5,275,266	-28%	5,878,940	43%	11,269,812	58%
Net Income ("Profit (loss) (A)")	14,192,552	14,537,076	11,033,196	16,457,924	22,606,801	344,524	2%	-3,503,880	-24%	5,424,728	49%	6,148,877	37%

Change in Euro (Millions)

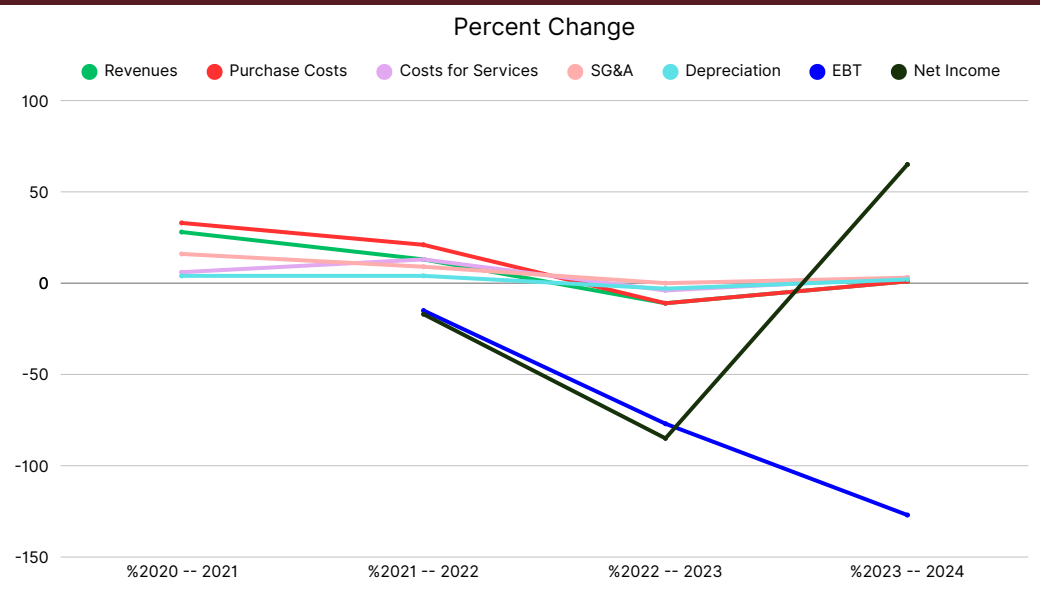
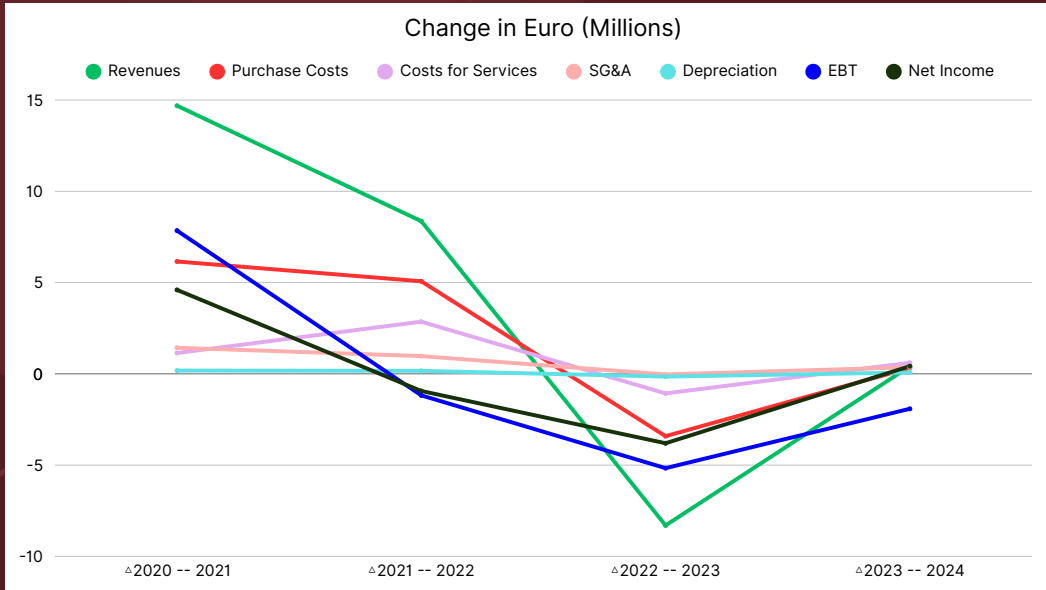


Percent Change



HORIZONTAL ANALYSIS MASI

MASI Wines (in €)	2020	2021	2022	2023	2024	△2020 -- 2021	%2020 -- 2021	△2021 -- 2022	%2021 -- 2022	△2022 -- 2023	%2022 -- 2023	△2023 -- 2024	%2023 -- 2024
Revenues ("Ricavi")	51,682,390	66,372,422	74,736,807	66,431,396	66,841,283	14,690,032	28%	8,364,385	13%	-8,305,411	-11%	409,887	1%
Purchase Costs ("Costo di acquisto e produzione del venduto")	18,529,846	24,685,051	29,756,512	26,341,968	26,665,218	6,155,205	33%	5,071,461	21%	-3,414,544	-11%	323,250	1%
Cost for Services ("Costi per servizi")	20,234,731	21,374,972	24,232,245	23,159,983	23,765,651	1,140,241	6%	2,857,273	13%	-1,072,262	-4%	605,668	3%
Selling, General and Administrative Expenses ("Costi per il personale" + "Altri costi operativi")	8,847,717	10,277,867	11,249,652	11,215,912	11,577,209	1,430,150	16%	971,785	9%	-33,740	0%	361,297	3%
Depreciation ("Ammortamenti")	4,005,177	4,184,110	4,348,252	4,196,768	4,272,175	178,933	4%	164,142	4%	-151,484	-3%	75,407	2%
Income Before Tax ("Risultato prima delle imposte")	6,573	7,853,841	6,673,040	1,505,706	-409,538	7,847,268	119386%	-1,180,801	-15%	-5,167,334	-77%	-1,915,244	-127%
Net Income ("Risultato dell'esercizio")	794,697	5,393,988	4,453,512	650,172	1,069,922	4,599,291	579%	-940,476	-17%	-3,803,340	-85%	419,750	65%



HORIZONTAL ANALYSIS KEY TAKEAWAYS



Italian Wine Brand's

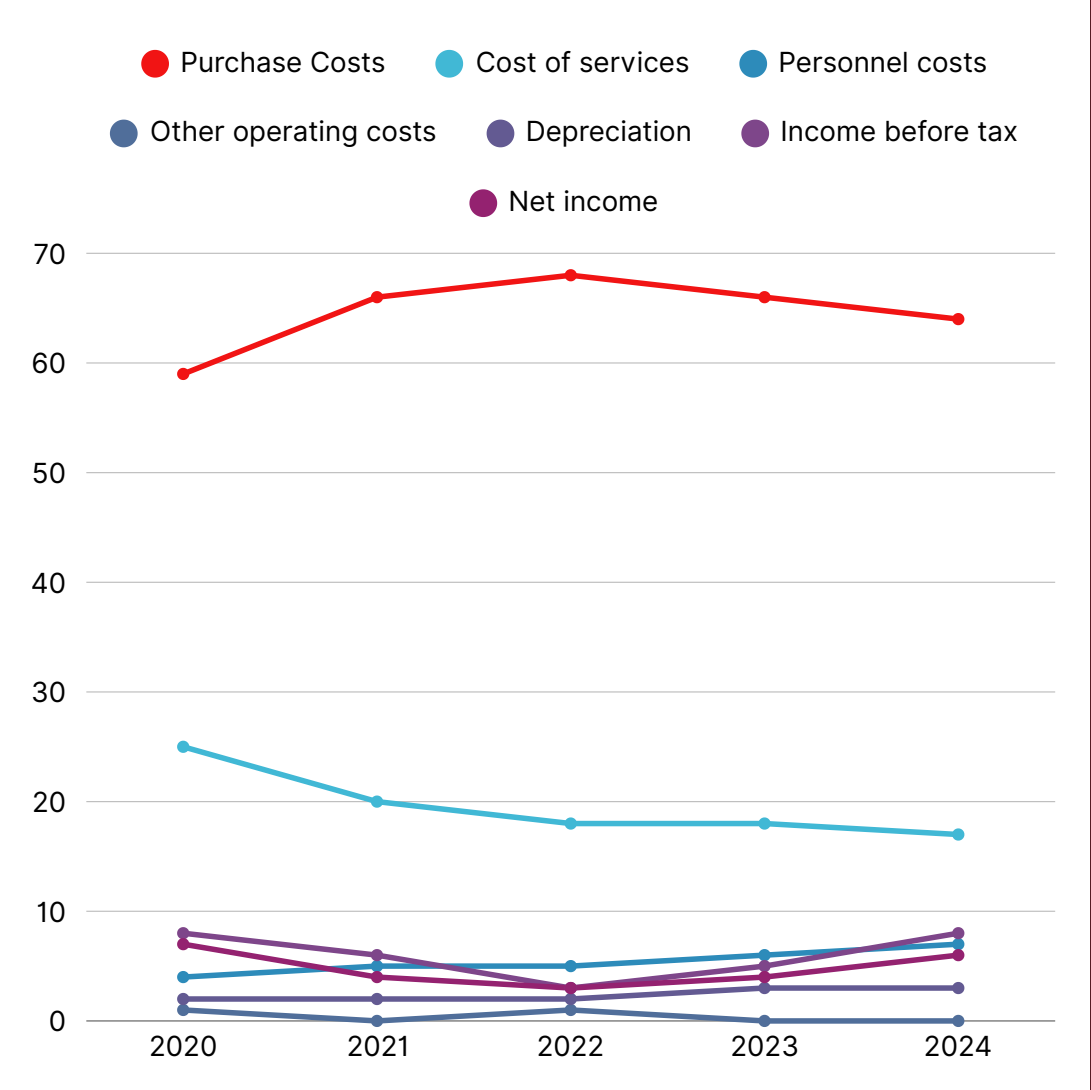
- Revenue significantly increased in 2021 and continued to increase until 2024 when it decreased slightly
- Net Income increased steadily from 2020-2024 except for a dip in 2022
 - Could be due to IWB's entry into the scope of consolidation with two other wine companies
- Amortization and Depreciation significantly increased in 2021 due to the acquisition of Enoitalia S.p.A.

Masi's

- Revenue increased significantly in 2021 and 2022, but then leveled out by 2024
- Net Income increased and decreased throughout the 2020-2024 period
- Income Before Tax and Net Income saw astronomical percent change increases from 2020 to 2021 because of ~€15 million increase in Revenue

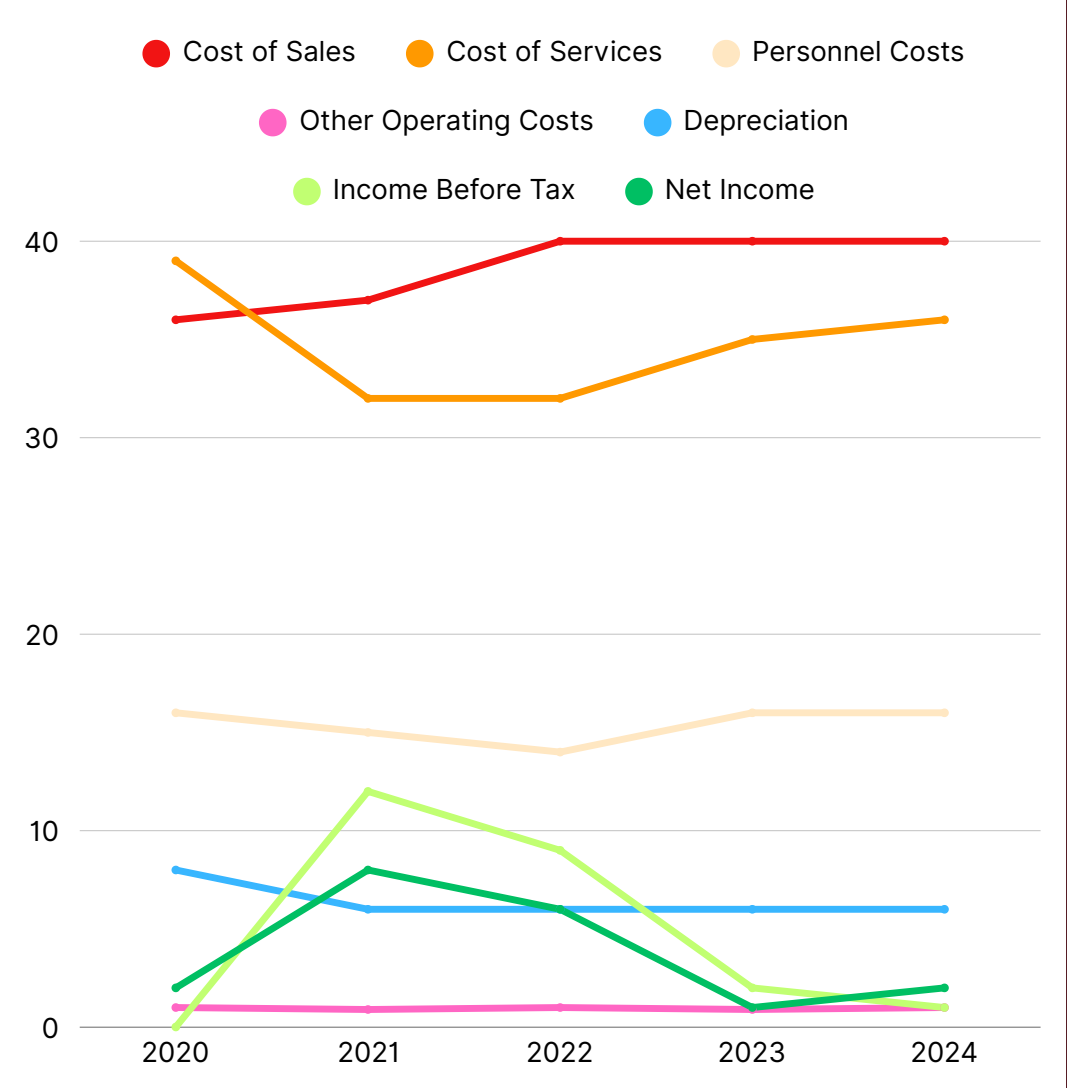
IWB VERTICAL ANALYSIS

%	Italian Wine Brands				
	2020	2021	2022	2023	2024
Revenues	100%	100%	100%	100%	100%
Purchase Costs	59%	66%	68%	66%	64%
Cost of services	25%	20%	18%	18%	17%
Personnel costs	4%	5%	5%	6%	7%
Other operating costs	1%	0%	1%	0%	0%
Depreciation	2%	2%	2%	3%	3%
Income before tax	8%	6%	3%	5%	8%
Net income	7%	4%	3%	4%	6%



MASI VERTICAL ANALYSIS

%	MASI				
	2020	2021	2022	2023	2024
Revenues	100%	100%	100%	100%	100%
Purchase Costs	36%	37%	40%	40%	40%
Cost of Services	39%	32%	32%	35%	36%
Personnel Costs	16%	15%	14%	16%	16%
Other Operating Costs	1%	1%	1%	1%	1%
Depreciation	8%	6%	6%	6%	6%
Income Before Tax	0%	12%	9%	2%	0%
Net Income	2%	8%	6%	1%	2%





VERTICAL ANALYSIS COMPARISON

Italian Wine Brand

In 2022 the purchase costs increased to 68% and the Net Income decreased to 3% then they both improved in 2024 when costs fell to 64% and the income rose to 6%

MASI

From 2020 to 2024, the purchase costs stays around the same level but the net income dropped from 8% in 2021 to 2% in 2024.

RATIOS ANALYSIS

KEY EQUATIONS

Profitability Ratios

Gross Profit Margin

- $(\text{Sales} - \text{Cost of Sales}) / \text{Sales}$

EBIT Margin

- $\text{EBIT} / \text{Sales}$

EBITDA Margin

- $\text{EBITDA} / \text{Sales}$

Profit Margin

- $\text{Profit} / \text{Sales}$

Efficiency Ratios

Asset Turnover

- $\text{Sales} / \text{Tot Assets}$

Inventory Turnover

- $\text{Cost of Goods Sold} / \text{Inventory}$

Receivables Turnover

- $\text{Sales} / \text{Trade Receivables}$

Liquidity Ratios

Current Ratio

- $\text{Tot Curr Assets} / \text{Tot Current Liabilities}$

Quick Ratio

- $(\text{Tot Curr Assets} - \text{Inventory}) / \text{Tot Curr Liabilities}$

Cash Ratio

- $\text{Cash} / \text{Tot Curr Liabilities}$

Solvency Ratios

Debt to Equity

- $\text{Tot Debt} / \text{Tot Equity}$

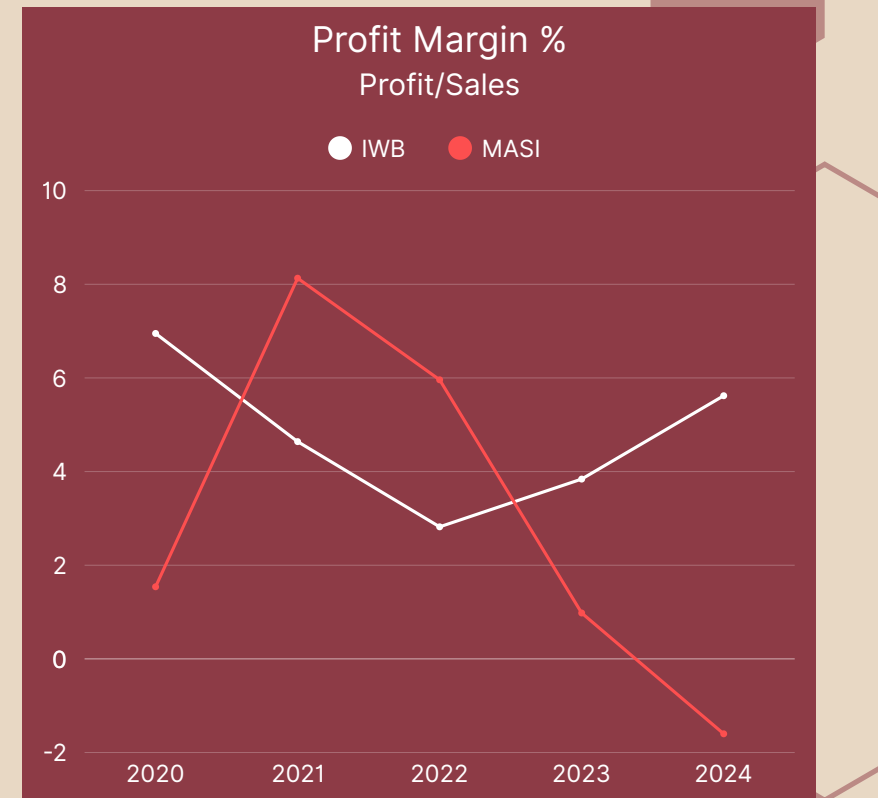
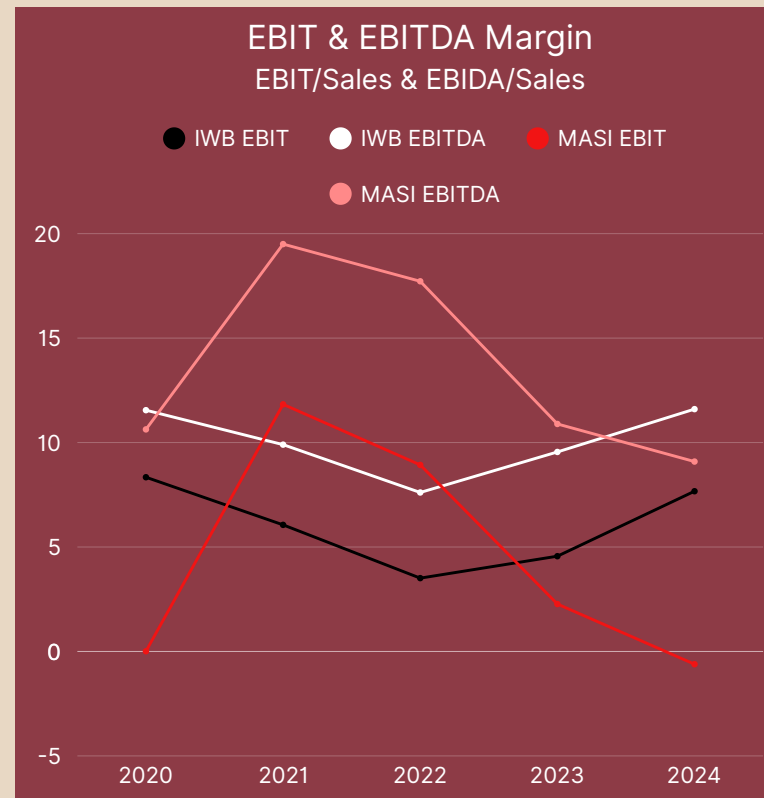
Financial Leverage

- $\text{Tot Assets} / \text{Tot Equity}$

Interest Cover

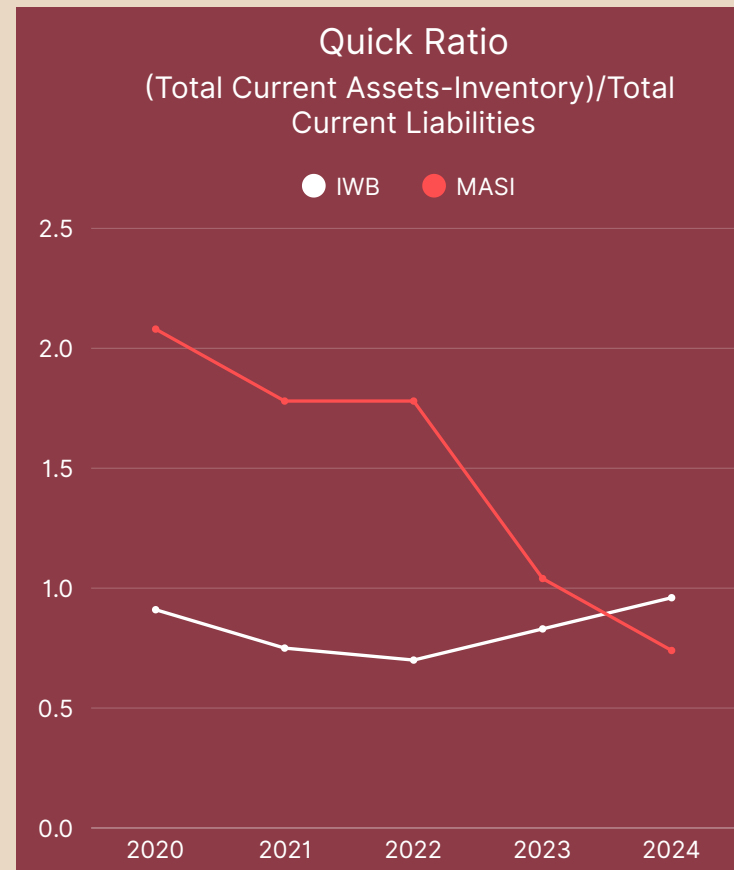
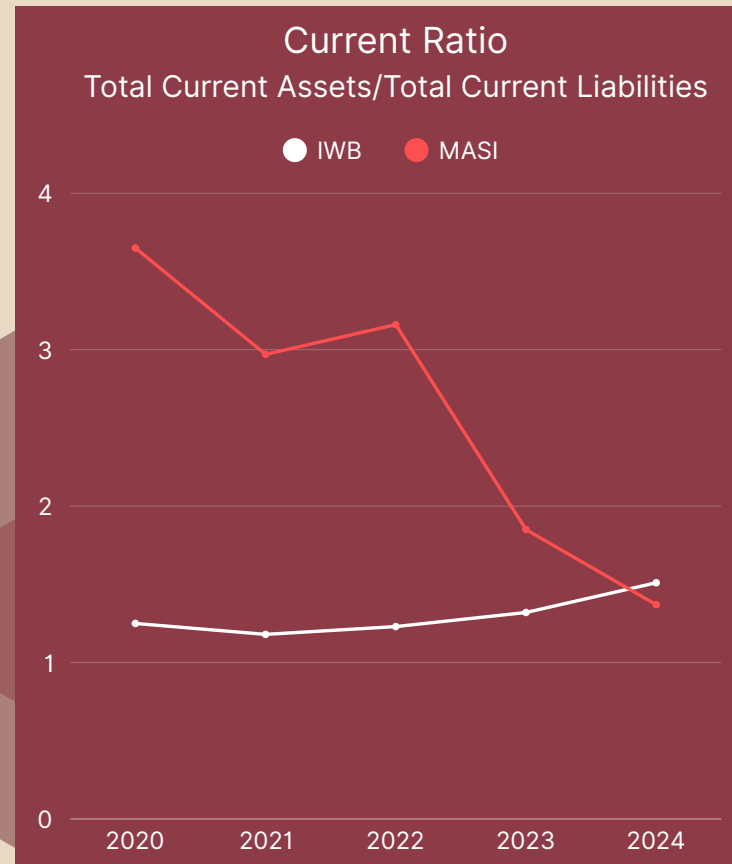
- $\text{EBIT} / \text{Interest Expenses}$

PROFITABILITY RATIOS



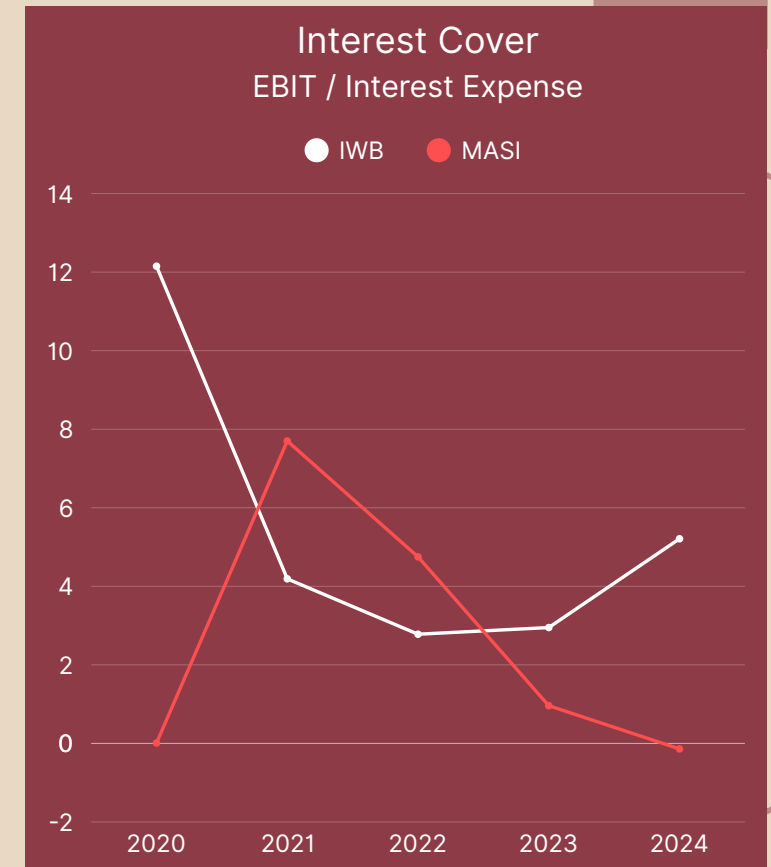
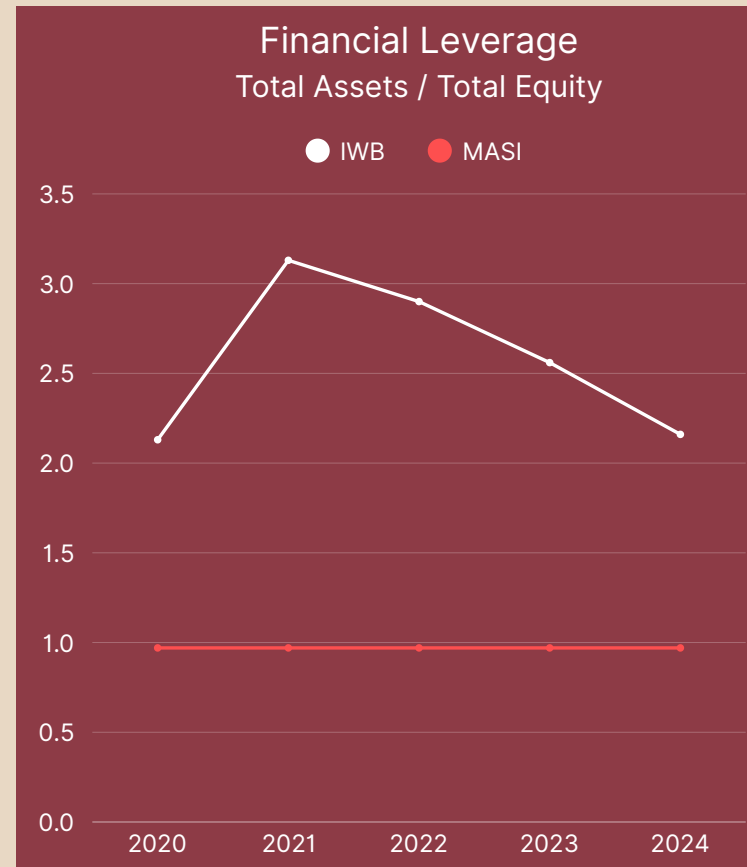
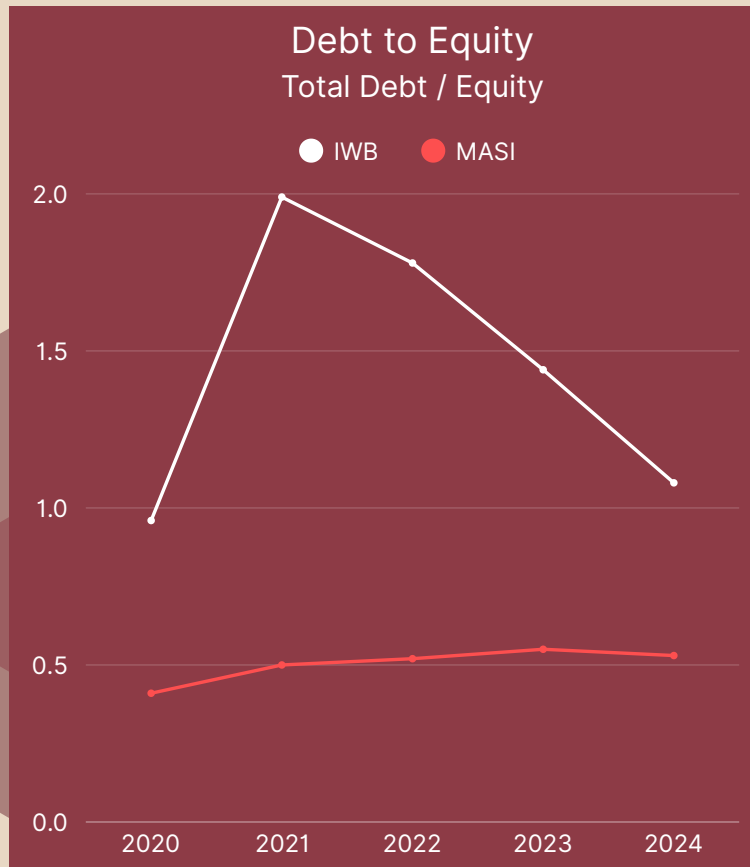
- Masi higher gross profitability than IWB (64.15% vs 39.48% in 2020)
- Masi EBIT peaks to 11.83% in 2021 than falls to -0.61% in 2024
- Negative profit margin for Masi -1.60% in 2024

LIQUIDITY RATIOS



- IWB Current Ratio is stable around 1 with 1.51 in 2024
- Masi faces a steep decline in all three index, (Current R. from 3.65 in '20 to 1.37 in '24), (Quick R. from 2.08 in '20 to 0.74 in '24), (Cash R. from 1.14 in '20 to 0.35 in '24, lower than IWB at 0.5)

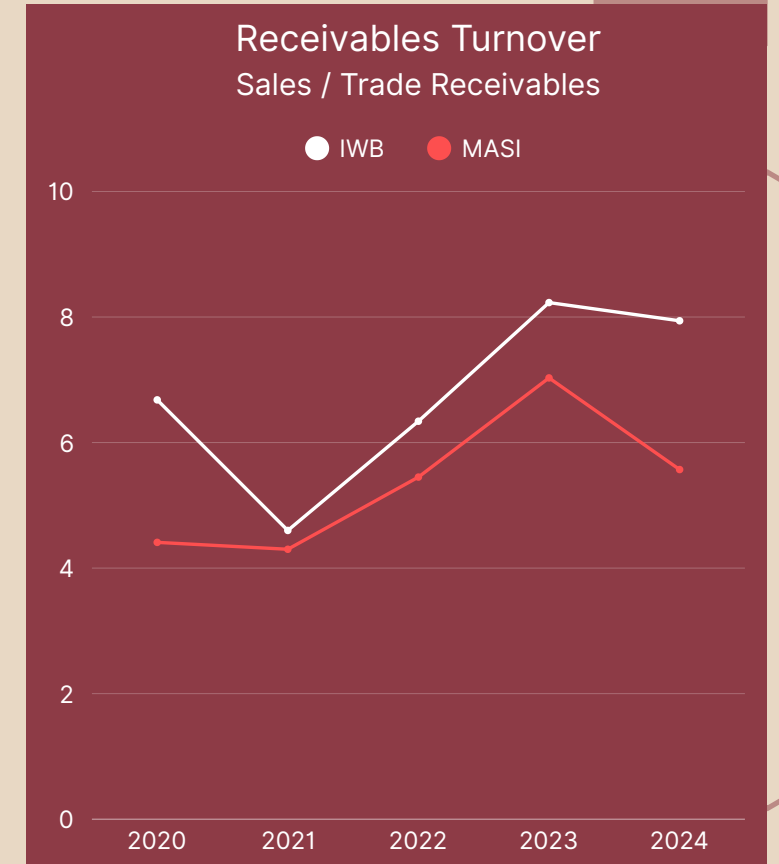
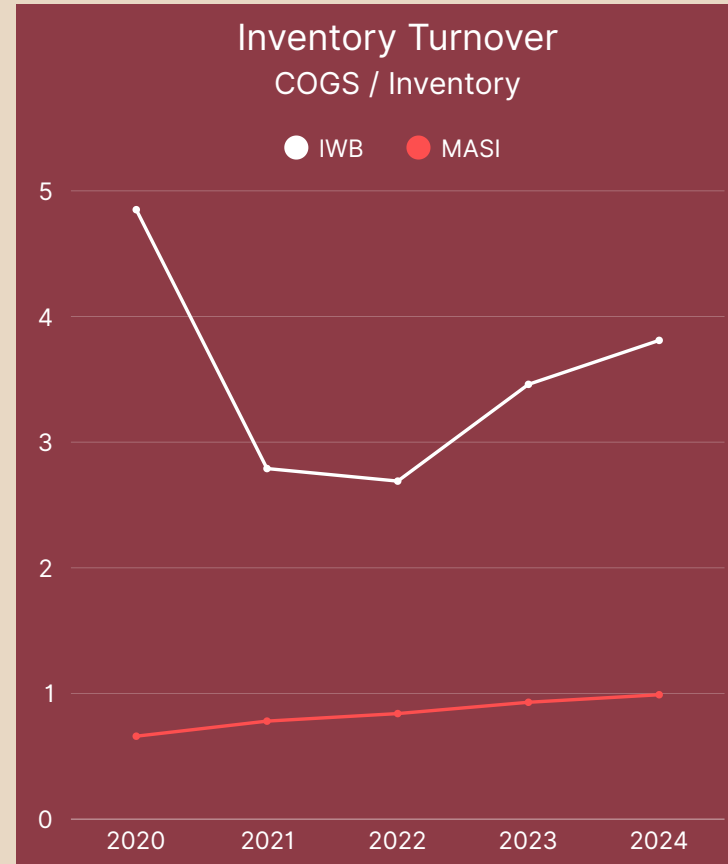
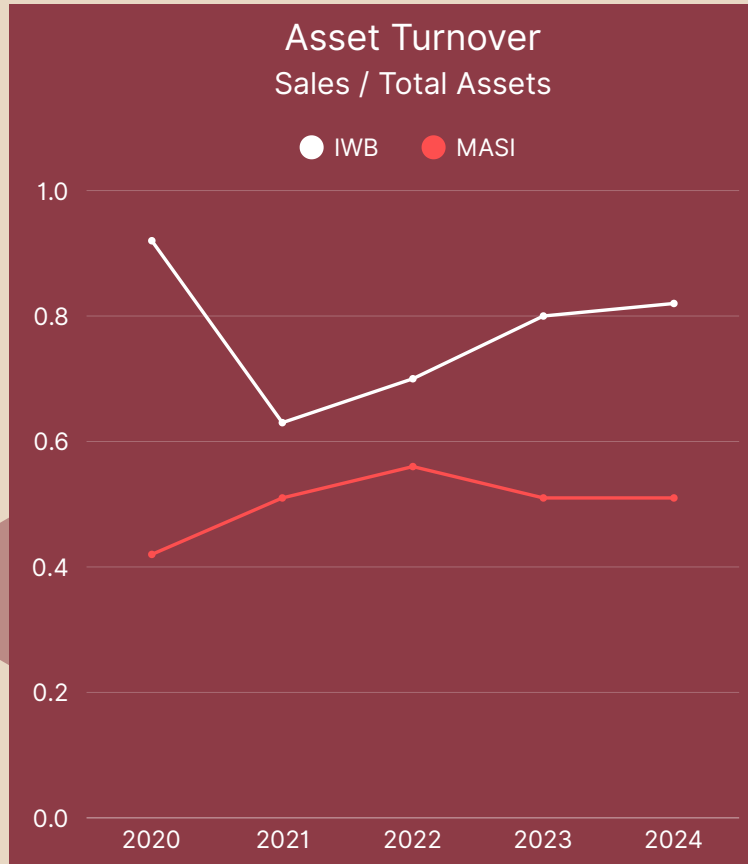
SOLVENCY RATIOS



- IWB max level in 2021 to 1.99 of Debt to Equity than gradual decline staying above level 1
- Masi keeps stable around 0.5 through time (Debt to Equity)
- IWB relies mostly on debt with Financial Leverage = 3.13 in 2021 vs stable value of FL = 0.97 for Masi

Masi is reporting a negative value on Interest Cover Ratio = -0.14 in '24,

EFFICIENCY RATIOS



- IWB able to generate more value for each unit sold than Masi (IWB Asset Turnover = 0.82 vs Masi Asset Turnover = 0.51 in 2024)
- IWB looks more efficient than Masi (IWB Inventory Turnover = 3.81 vs Masi Inventory Turnover = 0.99 in 2024), (IWB Receivables Turnover = 7.49 vs Masi Receivables Turnover = 5.57 in 2024)

PERFORMANCE RATIO ANALYSIS

- Return on Equity
- Asset Turnover
- ROE Change Analysis

Key Calculations

Return on Equity (ROE) = Net income / Shareholders Equity

Profit Margin = Net Income / Revenue

Asset Turnover = Revenue / Assets

Equity Multiplier/Leverage = Assets / Equity

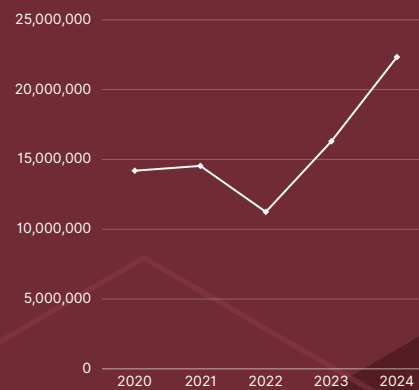
Return on Assets (ROA) = Net income / Total Assets



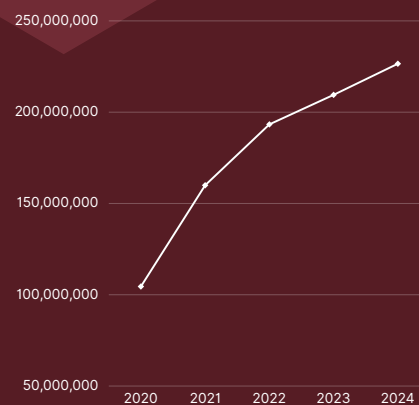
RETURN ON EQUITY (ROE) 2020 - 2024

IWB

Net Income



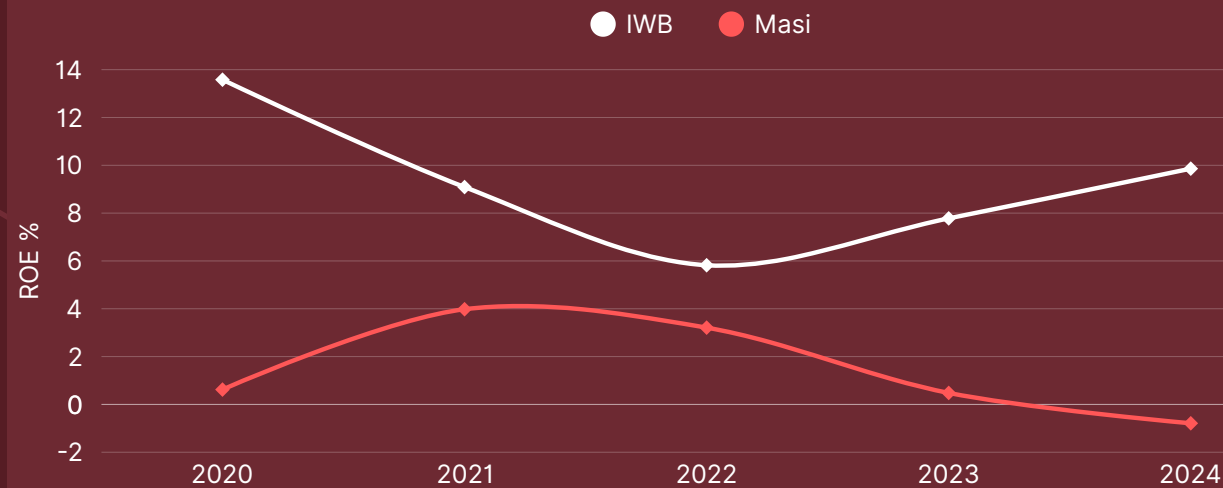
Shareholders Equity



IWB

- IWB consistently delivers positive and relatively strong ROE, between 6–14%.
- The dip in 2021–22 comes from the Enoitalia acquisition, but ROE recovers by 2024.
- Strong ROE is driven by high asset turnover and moderate leverage, not massive profit margins.
- This reflects an efficient, asset-light business model that scales well with volume.

ROE Yearly Comparison

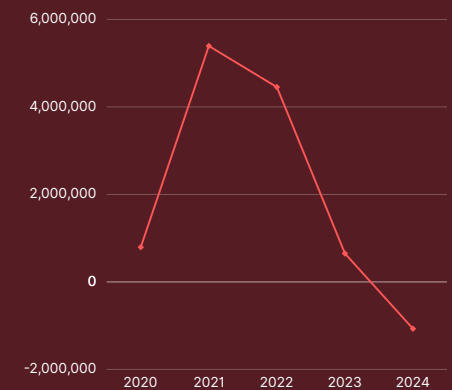


MASI

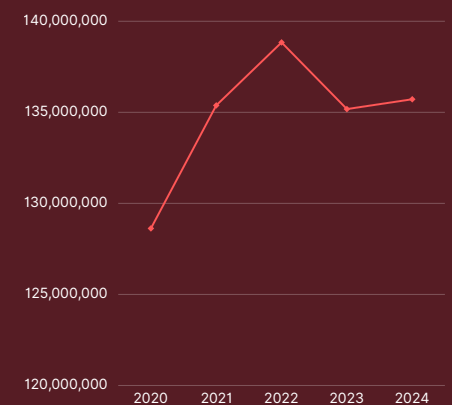
- In contrast MASI has very weak ROE across the entire period, never exceeding 4%.
- In 2024 ROE turns negative. Which is mainly driven by: declining profitability, and their capital intensive asset structure

Masi

Net Income



Shareholders Equity



ROE DUPONT BREAKDOWN ANALYSIS

IWB

Year	ROE	Change in ROE	Profit Margin	Asset Turnover	Equity Multiplier
2020	13.58%				
2021	9.09%	-4.49%	-2.32%	-44.33%	+32.16%
2022	5.82%	-3.27%	-1.58%	+7.08%	-7.90%
2023	7.78%	+1.97%	+1.11%	+8.24%	-13.26%
2024	9.86%	+2.08%	+1.77%	+1.57%	-16.24%

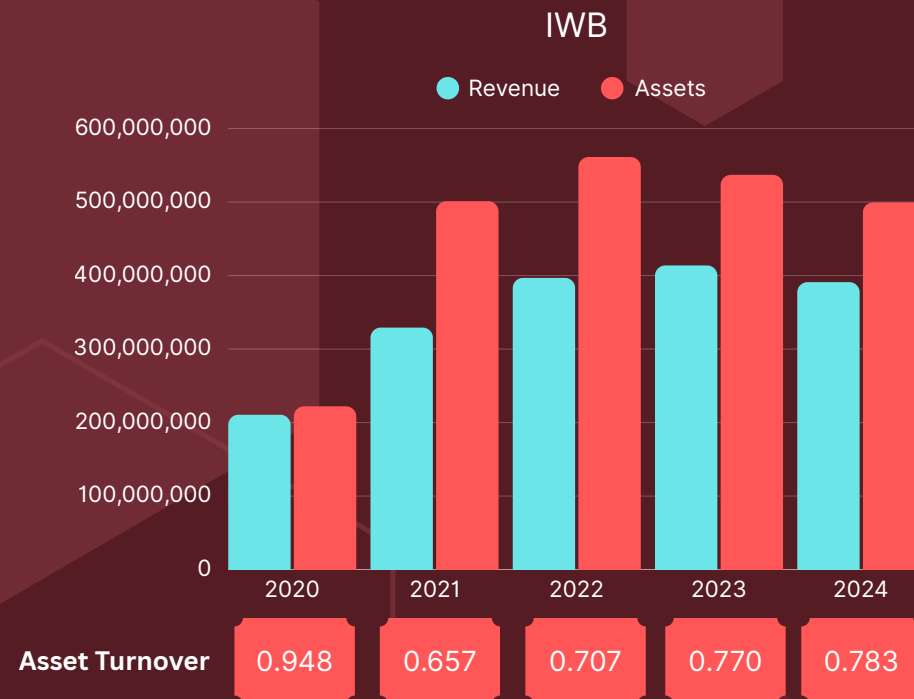
ROE movements are mainly driven by changes in asset turnover
Becasue IWB operate in an asset light model, the increase in revenue translate directly into
the efficient use of assets, then feeding into ROE

ROE DUPONT BREAKDOWN ANALYSIS MASI

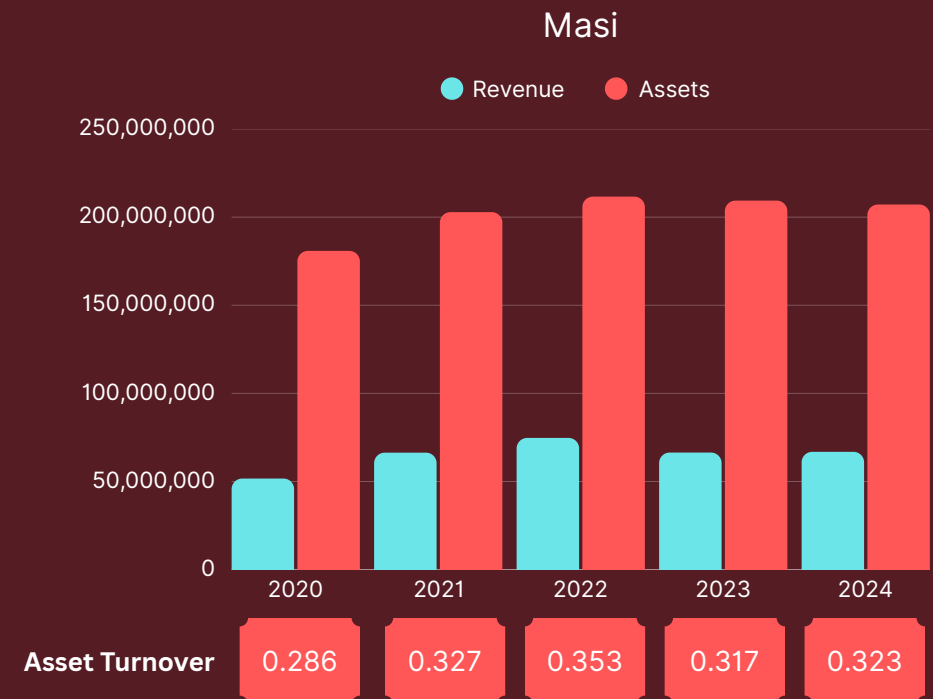
Year	ROE	Change in ROE	Profit Margin	Asset Turnover	Equity Multiplier
2020	0.62%				
2021	3.98%	3.37%	6.59%	12.67%	6.15%
2022	3.21%	-0.78%	-2.17%	7.34%	1.71%
2023	0.48%	-2.73%	-4.98%	-11.30%	1.58%
2024	-0.79%	-1.27%	-2.58%	1.66%	-1.47%

ROE movements follow profit margin fluctuations, not asset turnover like IWB.
Asset turnover remains low and stable, as expected for an asset heavy producer, which means even small movements in net income have disproportionately large impact on ROE

ASSET TURNOVER 2020-2024



- IWB has very high asset turnover for the 5 years (0.65–0.92).
- This means IWB generates €0.65–€0.92 of revenue for every €1 of assets.
- The pattern is driven by: the asset light structure, outsourced grape sourcing, large scale distribution model
- High turnover is one of the key drivers of IWB's strong ROE.



- MASI has low and stable turnover (0.41–0.55).
- This is typical for asset-heavy wine producers because vineyards and estates require large, long-term capital.
- And premium wine production has slower inventory cycles, further reducing inventory
- Low turnover significantly limits MASI's ROE potential, even in years with decent profitability.

Timeline of Trends Impacting the Italian Wine Market

Revenue

IWB (€210.6-€398.6) +88%

MASI (€51.7-€74.7)+44%

Masi is more vulnerable to tariffs compared to IWB
as IWB have a presence in multiple markets (including US)

Covid-19 Epidemics

2020-2022

Emilia-Romagna Floods

May 2023

**US 15% Tariff on
Wine from Italy**

April 2025

**Cargo Container
Price Peak**

January 2022

Sicily Wildfires

Summer 2023

**Wildfires in Calabria,
Sardinia & Sicily**

Spring & Summer 2025

Directly Impact MASI
Not IWB as they distribute the climate risk



Grazie!

Questions?

“We certify that the coursework that we have submitted is entirely our own unaided work, and that we have read and complied with the School’s guidelines on plagiarism and referencing as set out in the School handbook. We understand that the School may make use of plagiarism detection software and that our work may therefore be stored on a database which is accessible to other users of the same software”



REFERENCES

- 1 Italian Wine Brands Website: [Italian Wine Brands Annual Reports \(Linked in next slide\)](#)
- 2 MASI Agricola Website: <https://www.masi.it/>
- 3 <https://www.italianwinebrands.it/en/investors/financial-documents/>
- 4 <https://www.masi.it/en/investor-relations/financial-statements/>
- 5 Heat Wave Mapping:
<https://climateknowledgeportal.worldbank.org/country/italy/heat-risk>
- 6 Flood Hazard Areas:
<https://indicatoriambientali.isprambiente.it/en/flood-hazard/flood-hazard-areas>
- 7 Shipping Container Costs:
<https://tradingeconomics.com/commodity/containerized-freight-index>

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Item 1A	pdf file: "Group 9 Risk Assessment Masi v IWB - Strategic Approach & Risks (1a)"				
Item 7A	pdf file: "Group 9 Risk Assessment Masi v IWB - Market Risk (7a)"				
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